

SENATE BILL 2261

By Lowe

AN ACT to amend Tennessee Code Annotated, Title 4;
Title 10, Chapter 7; Title 35; Title 48 and Title 50,
relative to nonprofit organizations.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 48, Chapter 101, is amended by adding the following as a new part:

48-101-401.

As used in this part:

(1) "Employee" means a person who performs services for an employer for wages that are subject to withholding requirements under 26 U.S.C. § 3402;

(2) "Nonprofit organization" means a nonprofit entity that is tax exempt under United States Internal Revenue Code § 501(c)(3) (26 U.S.C. § 501(c)(3));

(3) "Person" means an individual or entity; and

(4) "Salary" means a fixed, regular payment, typically paid on a monthly or biweekly basis, often expressed as an annual sum, made by a nonprofit organization to an employee of the organization.

48-101-402.

(a) Notwithstanding another law to the contrary, a nonprofit organization that operates in this state and receives state or federal grants shall compile, maintain, and publish in a publicly available location the salary of each employee of the nonprofit organization. If the nonprofit organization has a publicly accessible website, the information required under this subsection (a) must be published on the website in a publicly accessible location.

(b) A nonprofit organization subject to the requirements of subsection (a) shall update the information no less than once every six (6) months.

48-101-403.

A person that believes that a nonprofit organization has violated § 47-101-402 may bring a cause of action in a court of competent jurisdiction. A court that finds that the nonprofit organization violated § 47-101-402 may order declaratory or injunctive relief, and shall award reasonable court costs and attorney fees to the prevailing party.

SECTION 2. This act takes effect July 1, 2026, the public welfare requiring it.